

SIR SYED UNIVERSITY OF ENGINEERING & TECHNOLOGY
COMPUTER SCIENCE & INFORMATION TECHNOLOGY DEPARTMENT

Spring 2026
Entrepreneurship(HS-411)
Assignment # 2

Semester: VIII
Announced Date: 01/06/2026
Total Marks: 03
Instructor Name: Miss Ayesha Urooj/ Miss Anam Siddiqui

Batch: 2022F
Due Date: 07/06/2026
Marks Obtained:
RollNo.:2022F-BCS-

Name: Muhammad Faisal
Roll #: 2022F-BCS-152
Section: B

CLO #	Course Learning Outcomes (CLOs)	PLO Mapping	Bloom’s Taxonomy
CLO 3	Apply entrepreneurial skills and tools specifically needed for entrepreneurial ventures.	PLO-3 (Problem Analysis)	C3 (Applying)

Question 1: [03 Marks]

Scenario: Tech App Development & Market Launch

Two computer science graduates decide to build an innovative healthcare mobile app that matches local patients with specialized doctors in Pakistan. One graduate writes the core algorithm, while the other handles business operations and brings in a seed investor. They want to minimize personal liability, protect their software code, contract fairly with their initial hires, and avoid expensive legal battles if disputes arise.

- **Tasks:**
 - Structure & Registration: Recommend the most suitable business structure for this tech startup to protect the founders from personal liability. State which regulatory body they must register with.
 - Intellectual Property: Which type of IPR should they secure to protect their original software code? Name the specific governing ordinance for it.
 - Contracts & Agreements: Identify three critical agreements they must execute before launching (covering founder dynamics, investor relations, and hiring and explain the purpose of each.
 - Dispute Resolution: If a contractual dispute arises with a vendor, outline three Alternative Dispute Resolution (ADR) mechanisms they can use under Pakistani law instead of going to court. State two advantages of choosing ADR.

Question 1: Tech App Development & Market Launch

Introduction

Entrepreneurship in the technology sector requires not only innovation and technical expertise but also a strong understanding of legal, business, and management practices. In the given scenario, two computer science graduates have developed a healthcare mobile application that connects patients with specialized doctors in Pakistan. As they prepare to launch their venture,

they must establish an appropriate business structure, protect their intellectual property, create essential legal agreements, and adopt effective dispute resolution mechanisms. These measures are crucial for ensuring business sustainability, legal compliance, and long-term growth.

1. Business Structure and Registration

The most suitable business structure for this technology startup is a **Private Limited Company**. This form of business organization is widely recommended for startups because it provides **limited liability protection** to its owners. Limited liability means that the personal assets of the founders, such as their homes, vehicles, and personal savings, cannot be used to satisfy the debts and obligations of the company. The liability of each shareholder is generally limited to the amount they have invested in the company.

A Private Limited Company also enhances the credibility of the startup in the eyes of investors, customers, and business partners. Since the founders plan to bring in a seed investor, a company structure is more suitable than a sole proprietorship or partnership because it allows ownership to be divided into shares and facilitates future investment rounds.

In Pakistan, the company must be registered with the **Securities and Exchange Commission of Pakistan (SECP)**. The SECP is the primary regulatory authority responsible for the incorporation and regulation of companies under Pakistani corporate laws. Registration with the SECP provides legal recognition to the business and enables it to operate as a separate legal entity.

Benefits of a Private Limited Company

1. Limited liability protection for founders.
2. Separate legal identity from its owners.
3. Easier access to investment and funding opportunities.
4. Greater business credibility and trust.
5. Perpetual succession, meaning the company continues to exist even if ownership changes.

2. Intellectual Property Rights (IPR)

The founders have developed an original software algorithm and healthcare application. To protect this intellectual creation, they should obtain **Copyright Protection**.

Copyright is a form of intellectual property right that protects original literary, artistic, and software works from unauthorized copying, distribution, modification, or reproduction. Since software source code is considered an original creative work, copyright protection automatically applies upon creation, although formal registration can strengthen legal enforcement.

The governing legislation in Pakistan is the **Copyright Ordinance, 1962**. Under this ordinance, computer software and source code are recognized as literary works and are entitled to copyright protection.

Importance of Copyright Protection

1. Prevents unauthorized copying or distribution of software.
2. Provides legal ownership of the source code.
3. Enables the company to take legal action against infringement.
4. Enhances the commercial value of the software.
5. Attracts investors by securing ownership of the startup's primary asset.

By securing copyright protection, the founders can ensure that competitors cannot legally copy or exploit their original healthcare application.

3. Contracts and Agreements

Before launching the startup, the founders should execute several key agreements to establish clear expectations and avoid future conflicts.

A. Founders' Agreement

A Founders' Agreement is a legal contract between the founders of the company. Since one founder developed the core software while the other manages business operations and investor relations, it is essential to clearly define each person's rights and responsibilities.

Purpose of the Founders' Agreement

1. Defines ownership percentages and equity distribution.
2. Clarifies roles and responsibilities of each founder.
3. Establishes decision-making procedures.

4. Specifies procedures for handling disputes.
5. Determines what happens if a founder leaves the company.

This agreement minimizes misunderstandings and protects the interests of all parties involved.

B. Investment Agreement (Shareholders' Agreement)

Since the startup has attracted a seed investor, an Investment Agreement or Shareholders' Agreement is necessary.

Purpose of the Investment Agreement

1. Defines the amount of investment provided.
2. Specifies the percentage of ownership granted to the investor.
3. Establishes investor rights and obligations.
4. Outlines dividend and profit-sharing arrangements.
5. Defines exit strategies and future funding provisions.

This agreement ensures transparency between founders and investors while protecting both parties from potential disputes.

C. Employment Agreement

As the startup plans to hire employees, an Employment Agreement is essential.

Purpose of the Employment Agreement

1. Defines job duties and responsibilities.
2. Specifies salary, benefits, and employment conditions.
3. Includes confidentiality and non-disclosure clauses.
4. Ensures that intellectual property created by employees belongs to the company.
5. Establishes grounds for termination and disciplinary action.

This agreement helps safeguard company information and ensures that all employees understand their obligations.

4. Alternative Dispute Resolution (ADR)

Business disputes are common in commercial activities. If a contractual dispute arises with a vendor, the startup should consider Alternative Dispute Resolution (ADR) methods instead of immediately pursuing litigation through the courts.

ADR refers to methods of resolving disputes outside traditional court proceedings. These methods are generally faster, more flexible, and less expensive.

A. Negotiation

Negotiation is the simplest ADR method in which the disputing parties communicate directly to reach a mutually acceptable solution.

Features

1. Informal process.
2. No third-party involvement.
3. Parties maintain complete control over the outcome.

Negotiation is often the first step in resolving business disputes because it preserves professional relationships and minimizes costs.

B. Mediation

Mediation involves the assistance of a neutral third party known as a mediator. The mediator facilitates communication and helps the parties reach a voluntary settlement.

Features

1. Neutral mediator guides discussions.
2. Settlement is based on mutual agreement.
3. Confidential process.

Mediation is particularly useful when the parties wish to preserve an ongoing business relationship.

C. Arbitration

Arbitration is a more formal ADR process in which a neutral arbitrator hears evidence from both sides and issues a decision.

Features

1. Independent arbitrator reviews the dispute.

2. Less formal than court litigation.
3. Decision may be legally binding depending on the arbitration agreement.

Arbitration is widely used in commercial contracts because it provides a definitive resolution while avoiding lengthy court procedures.

Advantages of ADR

1. Cost Effectiveness

ADR procedures generally require fewer legal expenses, administrative costs, and court fees than traditional litigation. This is especially beneficial for startups with limited financial resources.

2. Time Efficiency

Court cases may take several years to reach a final judgment, whereas ADR methods can often resolve disputes within weeks or months. Faster dispute resolution allows businesses to focus on growth and operations.

Additional benefits include confidentiality, flexibility, and the preservation of business relationships.

Conclusion

To successfully launch their healthcare mobile application, the founders should establish a Private Limited Company registered with the Securities and Exchange Commission of Pakistan (SECP). They should secure copyright protection for their software under the Copyright Ordinance, 1962, and execute essential agreements including a Founders' Agreement, Investment Agreement, and Employment Agreement. In the event of commercial disputes, they can rely on Alternative Dispute Resolution mechanisms such as negotiation, mediation, and arbitration, which offer faster and more cost-effective alternatives to court litigation. By implementing these legal and business safeguards, the startup can operate efficiently, attract investment, and achieve sustainable growth.